Name: Magdalene Olivia Govender Date: 07 August 2018
Student Number: 211519299

It is important to have argued that the adoption of the framework of nation–states will not hold in the cases of theory originating from Geography and trade and therefore MNC's. The reason being is that one cannot expose, in theory, MNC's to one regulatory regime. MNC's are characterised by being able to operate across different regulatory regimes of different, taxation laws, international trade barriers and labour regimes. This is crucially significant and should therefore be accounted for accordingly within the model. Each and every nation has regional and international laws, taxation and protectionist policies. It is for that reason that Krugman identifies nations according to "extra costs and barriers to factors and product mobility they pose over and above the costs of operating at the inter-regional level," rather than focusing solely on one or a few regional regimes.

Krugman (1985, 1991a, 1998) asserts that the degree of trade and specialisation strongly depends firstly on the "static and exogenous elements due to the comparative advantages of factor endowment (as in Ricardo and Hecksher-Ohlin)" and secondly "by advantages deriving from dynamic and endogenous elements linked to increasing." The former attribute, as Ietto-Gillies (2014) asserts, tends toward the Chamberlinian type, that are internal and dependent on the scale of the plant/ firm, whereas the latter attribute tends more to the Marshallian type due to external economies of scale that are connected to the scale of the industry.

The original framework in which the assumptions of large markets due to the size of the population and high income per capita, large transportation costs and other spatial transaction costs and capital and labour immobility cannot explain the role of direct production with respect to Multinational Corporations (MNC's) in other countries. The notion of increasing returns to scale that further explain trade and the theory of geographic concentration fail to include its impacts on MNC's.

In order to extend the framework to include impacts and features of MNC's, economists have adjusted the assumptions of the original framework, with capital and labour now seen as mobile as well as protectionist objectives that have contributed to pronounced constraints to the movement of products and services. The main adjustment of assumption is with respect to the treatment of internal economies which are divided into economies pertaining to plant levels and economies pertaining to firm levels.

It is recorded that MNC's international production originates from developed economies and siphoned to developing economies, as Ietto-Gillies (2014) asserts. It is with that in mind that this general framework provides two paths that lead to MNC's introducing international production. The primary route motivates for why MNC's choose to produce in developing countries. This is due to the highly differentiated factor endowments and the production of intermediate and final products. The differentiated factor endowments of a specific country foster the growth and expansion that specialisation brings to international trade as well as to the MNC itself. MNC's will most definitely acquire and use the factor endowments that are specific to their production process and specific to their company. This outsourcing of services/production – if you will – often leads to lower production costs of manufacturing a good or offering a service. The second pathway offered to MNC's to introduce international production is Foreign Direct Investment (FDI) into developed countries. Ietto –Gillies (2014) draws on the model by Markusen (1995) developed with the main assumption that transportation costs are truthfully exorbitant as well as asset intangibility that poses as a restriction since quality control monopoly over technology are dissolved. It is for this reason that motivates the flow of FDI as a form of direct production into developed countries rather than exports. The current and future organisation of manufacturing may fall under the regulations of the same company but not under the same plant location. Regional specialisation complements trade openness and fosters the economic growth and stimulation. Ietto-Gillies (2014) states that the specificity that specialisation offers "leads to advantages of internalization and thus to a preference for direct production over licensing and exchanges at arm's length."